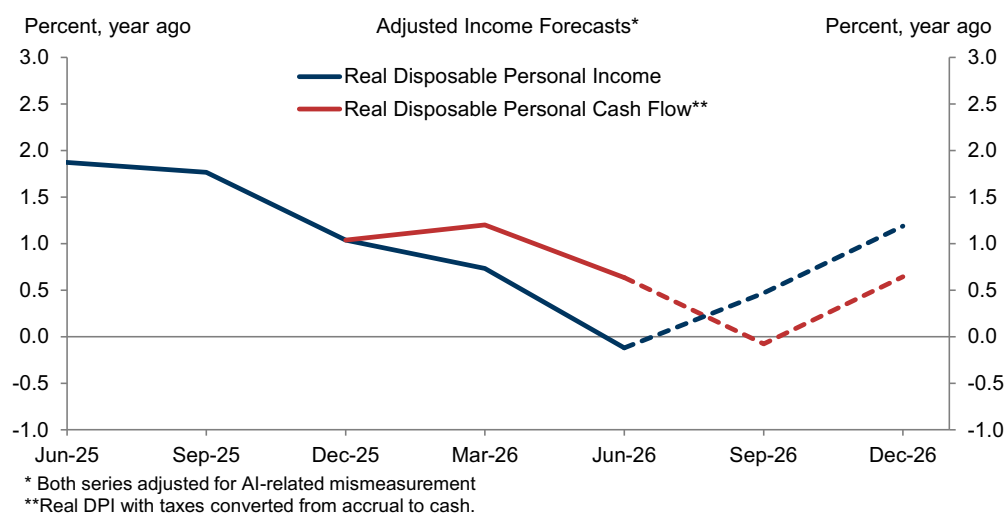


Global Views: They're Not Hiking

1. Although the drop in US retail sales in July partially reflects payback for an earlier-than-usual Amazon Prime day, the revised path now looks much more consistent with our view that the strength of real consumer spending in the spring was the temporary byproduct of the tax refund surge, and that real spending growth will slow to 1-1.5% in H2 as real cash flow stagnates. Moreover, the risks to this forecast are on the downside because the Strait of Hormuz remains closed and a renewed spike in gasoline prices would further hurt consumers, especially those with lower and middle incomes. Strong business investment and the lagged effects from earlier large equity wealth gains should continue to support overall GDP growth, but we feel comfortable with our view that the pace will remain slightly below potential.

Jan Hatzius
+1(212)902-0394 | jan.hatzius@gs.com
Goldman Sachs & Co. LLC

Exhibit 1: Weakness in Real Income and Cash Flow Weighs on Consumption

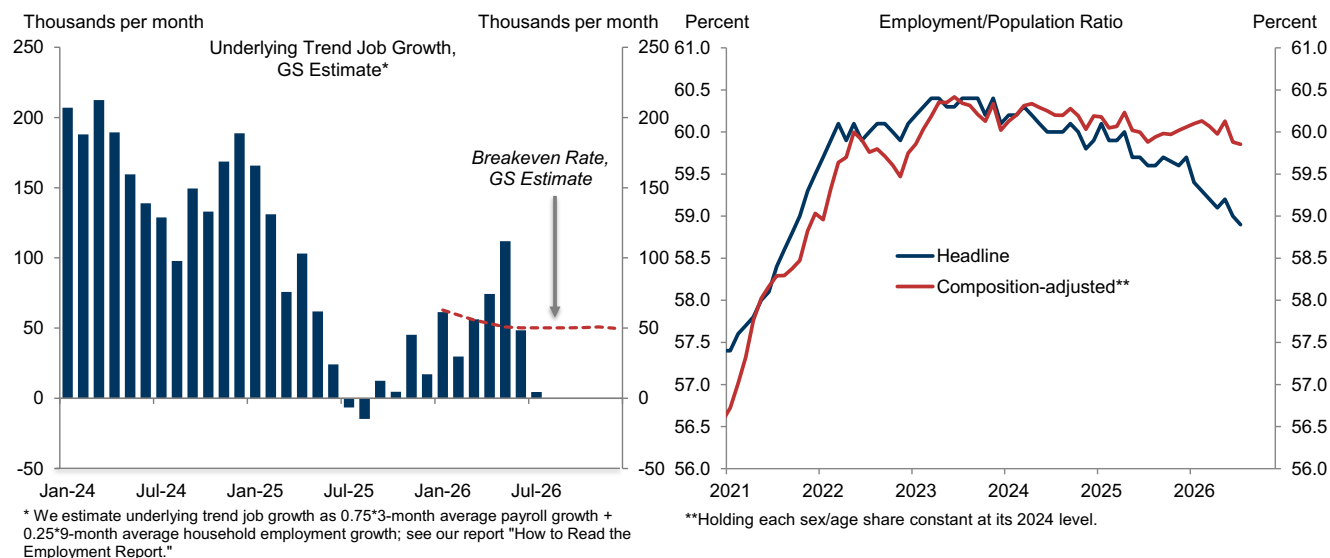


Source: Goldman Sachs Global Investment Research

2. With nonfarm payrolls and household employment down on the month, our estimate of underlying trend job growth slowed further to just 5k in July. Since this is below our estimate of breakeven job growth of 50k, similar numbers in coming months would probably reverse some of the decline in the unemployment rate from 4.5% in December to 4.1% in July. We think this decline deserves less weight than it normally would because it has been driven by lower labor force participation, not higher employment. This is visible not only in the headline employment/population ratio (whose sharp decline is partly driven by changes in the age structure of the population) but to some degree also in a composition-adjusted version that holds the age structure constant over time. The continued weakness in wage growth also argues against the notion that the labor market is tightening.

Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html.

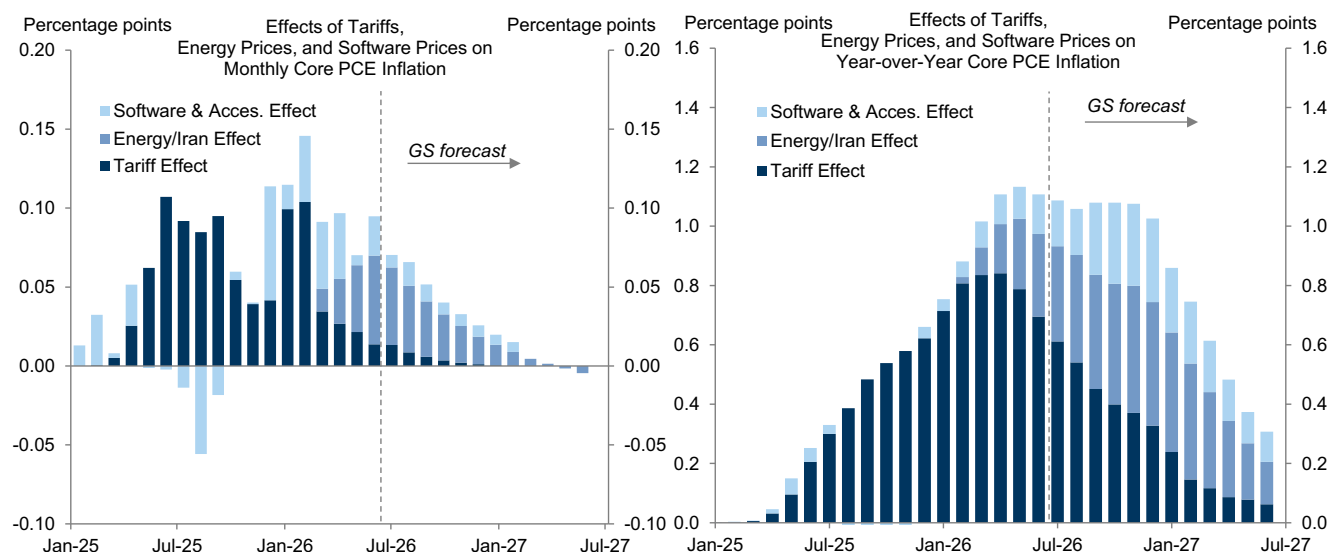
Exhibit 2: The Labor Market Is Not Tightening, Despite Lower Unemployment



Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

3. The US inflation news has improved meaningfully in the past two months. Following a 0.13% increase in June, core PCE is on track for 0.20% in July, with more than half of this gain coming from portfolio management services. That category is not only poorly measured and defined—most people don't view paying a constant percentage fee on a growing portfolio as a price increase—but will also get revised repeatedly in coming months, with a large downward revision coming at the end of September. With other temporary inflation drivers such as tariffs, software/accessories, and energy likely to subside as well—some soon, others later—we continue to expect core PCE inflation to fall to near 2% in 2027.

Exhibit 3: The Impact of Temporary Inflation Drivers Such as Tariffs, Software, and Energy on Year-on-Year Core PCE Inflation Should Improve Sharply Over the Next Year

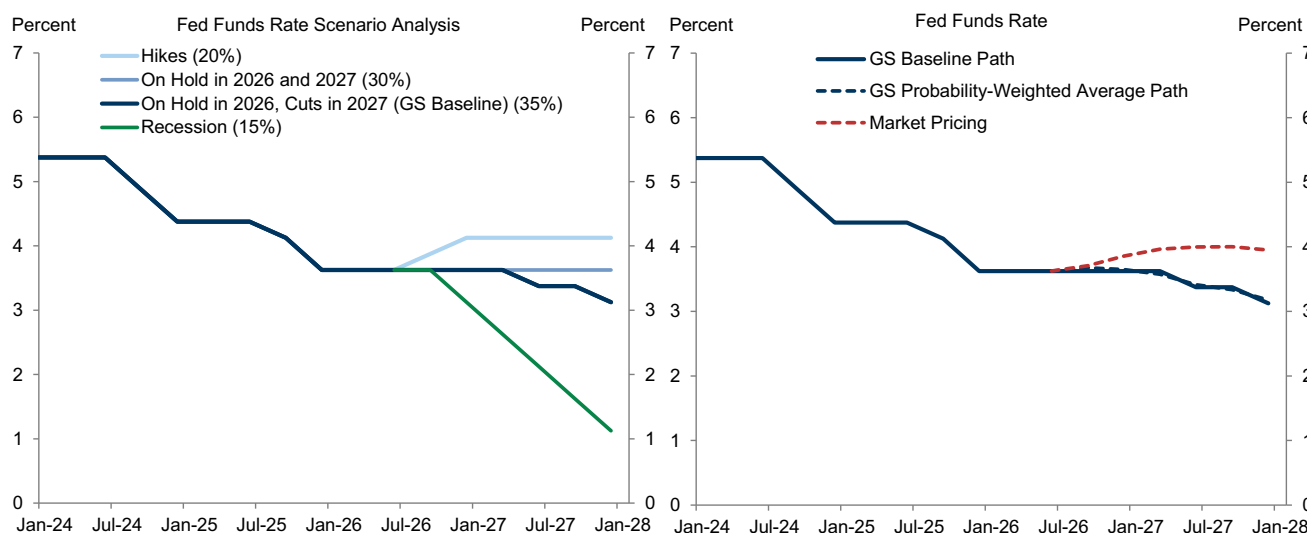


Source: Goldman Sachs Global Investment Research

4. Although 9 of the 18 FOMC participants that submitted dots at the June meeting projected hikes in 2026, we estimated at the time that only 4-5 of the 12 voting FOMC

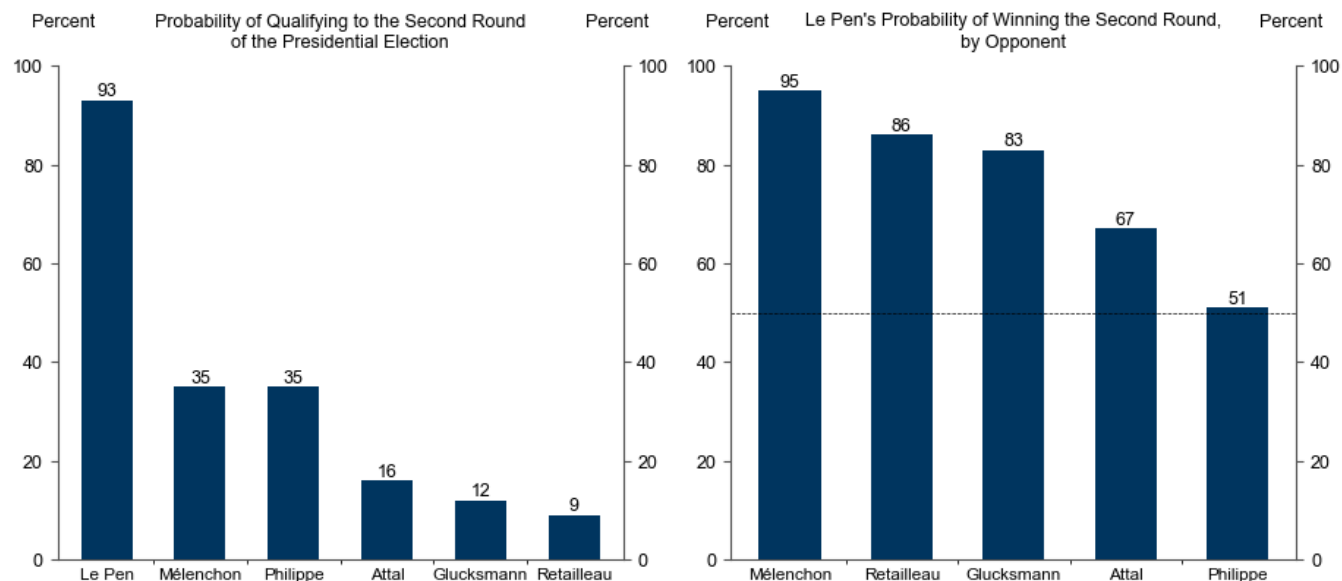
members fell into this group. Since then, the hawks have become louder, with three outright dissents at the July meeting. But after two months of materially softer jobs and inflation data, it's hard to see any of the doves shifting toward hikes. Therefore, a hike at the September meeting has become very unlikely, barring a dramatic shift in the tone of the August data due in early September (which we don't expect). And under our baseline economic forecasts, the inflation news is more likely to improve further than to deteriorate anew as the year progresses. Hence, we still think market pricing for the funds rate is too hawkish.

Exhibit 4: Fed Pricing Has Turned Less Hawkish, But There Is Further to Go



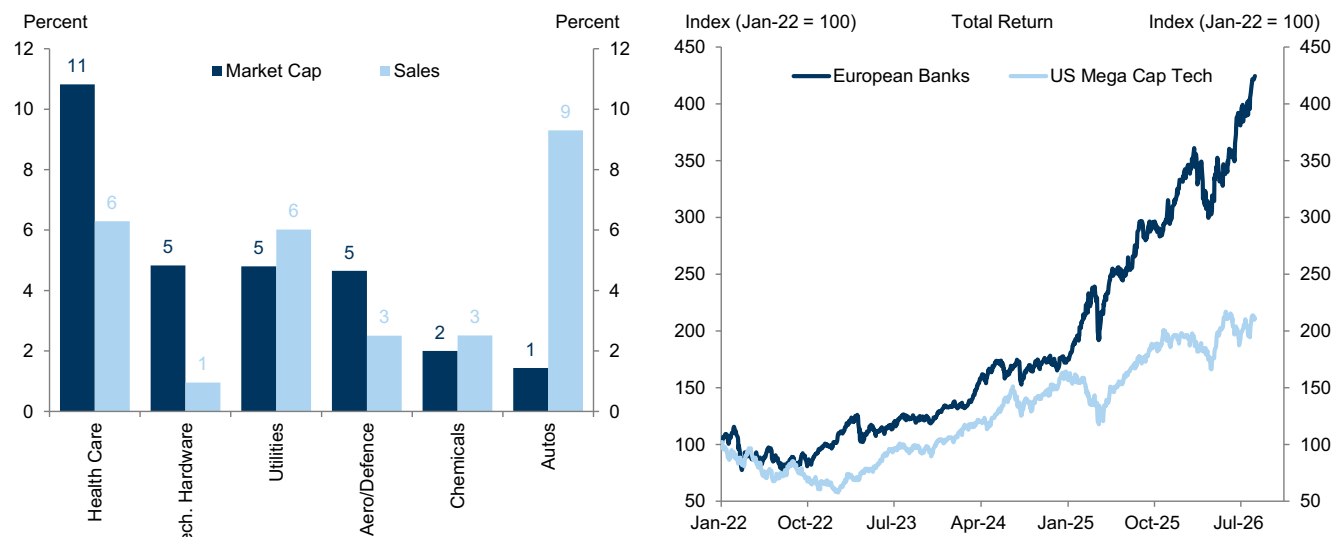
Source: Bloomberg, Goldman Sachs Global Investment Research

5. With energy prices high but core inflation only modestly above target, we remain comfortable with our call that the ECB will hike by 25bp in September but that the next move is down (we think in mid-2027). Beyond the cyclical news, attention is shifting to the 2027 French presidential election, with the first round on April 18 and the runoff among the top two candidates on May 2. Our new poll-based model shows that far-right Marine Le Pen currently has about a two-thirds chance of becoming president. The runoff will be competitive if her second-round opponent is former prime minister Edouard Philippe (whose first-round polls currently put him in second place behind Le Pen) or another centrist. But Le Pen will almost certainly win if she faces far-left Jean-Luc Melenchon (whose first-round polls put him in third place but who has a history of outperforming his polls).

Exhibit 5: Marine Le Pen Is the Frontrunner, and Will Almost Certainly Win if Melenchon Reaches the Runoff

Source: Goldman Sachs Global Investment Research

6. European (including UK) equities have performed—and could continue to perform—much better than the often-downbeat economic discussion suggests, for two reasons. First, much of the weakness in European GDP growth comes from sectors that aren't important for the stock market (e.g. autos represent just 1% of market cap) or from forces that look very different from the vantage point of the stock market as opposed to the broader economy (e.g. higher oil prices are bad for European GDP but good for European stocks given the large index weight of oil producers). This is the key reason why earnings per share in the Stoxx 600 grew 14% in H1 despite nominal GDP growth of only 3.3% (and real GDP growth of 0.7%). Second, the growth gap with the US is matched by lower valuations. Partly for this reason, the Stoxx 600 has outperformed the S&P 500 over the past 18 months, while European Banks—the leading sector—have massively outperformed US megacap tech since 2022. A good part of this outperformance is a one-off re-rating, but European valuations remain reasonable.

Exhibit 6: The Stoxx 600 Is Concentrated in Stronger Sectors; European Banks Have Surged Since 2022

Source: Datastream, Goldman Sachs Global Investment Research

7. Whether resolving China's economic imbalances requires a stronger RMB or stronger domestic demand is a false dichotomy. On our estimates, the RMB is at least 20% undervalued, and China's ongoing gains in manufacturing competitiveness—i.e., the ongoing decline in China's producer prices relative to US or global producer prices—boost that number every year unless the nominal exchange rate appreciates commensurately. It is therefore hard to see how external balance could ever be achieved without a large nominal exchange rate appreciation. That said, the weakness in domestic demand already threatens to push growth well below potential, and a stronger RMB would take an additional toll. The classic solution to this quandary—first suggested by Australian economist Trevor Swan in the 1950s—is an exchange rate appreciation combined with a domestic demand boost (e.g. via an expanded social safety that makes consumers more comfortable spending). Such a combination of policies could move China's economy closer to external balance without undermining growth and employment.

Exhibit 7: China Needs a Stronger Currency as Well as Stronger Domestic Demand

Source: Haver Analytics, Goldman Sachs Global Investment Research

8. Our rates strategists expect the US Treasury curve to steepen further on the back of better inflation news, reduced hike premium, and troubling budget news. Great Q2 earnings and a stabilization in the AI trade have helped equity markets make new highs, and our equity strategists expect the major indices to continue trending higher into yearend. Our credit strategists note that AI-related spreads are likely to keep climbing alongside heavy issuance of data center debt. Our FX strategists think the benign global inflation news should prolong the “summer of carry”, supporting higher yielding currencies such as the US dollar relative to lower yielding substitutes such as the Canadian dollar or the euro relative to the Swiss franc. Despite historic intervention efforts, the Japanese yen still falls into the latter category without a more meaningful shift in the domestic policy mix than we think is likely or warranted. Finally, our commodity strategists note that with global oil demand recovering, inventories are again falling quickly and will reach all-time lows (in a series available back to 2018) if the Strait of Hormuz doesn’t reopen soon.

Exhibit 8: Global Oil Inventories Still Set to Reach Historic Lows If the Strait Doesn't Reopen Soon

Source: IEA, Kpler, DOE, Euroilstocks, ARA PJK, PAJ, Haver, Refinitiv Eikon, Goldman Sachs Global Investment Research

Jan Hatzius

Disclosure Appendix

Reg AC

I, Jan Hatzius, hereby certify that all of the views expressed in this report accurately reflect my personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Jan Hatzius Goldman Sachs & Co. LLC.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

Disclosures

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; registered market maker. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: <https://www.goldmansachs.com/worldwide/india/research-analyst>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are

available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brasil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, make a market or act as liquidity provider in, and buy or sell, any securities, derivatives, or other financial instruments referred to in this research (including any financial instruments issued by the companies referred to herein), unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is focused on investment themes across markets, industries and sectors. It does not attempt to distinguish between the prospects or performance of, or provide analysis of, individual companies within any industry or sector we describe.

Any trading recommendation in this research relating to an equity or credit security or securities within an industry or sector is reflective of the investment theme being discussed and is not a recommendation of any such security in isolation.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g.,

marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.